

KASHMIR EDUCATION INITIATIVE, INC.



**Financial Statements for
the Year Ended
December 31, 2024**

KASHMIR EDUCATION INITIATIVE, INC.

December 31, 2024

TABLE OF CONTENTS

Independent Accountant's Review Report.....	1
Statement of Financial Position.....	2
Statement of Activities and Changes in Net Assets.....	3
Statement of Functional Expenses.....	4
Statement of Cash Flows.....	5
Notes to Financial Statements.....	6

INDEPENDENT ACCOUNTANT'S REVIEW REPORT

The Board of Directors of
Kashmir Education Initiative, Inc.

I have reviewed the accompanying financial statements of Kashmir Education Initiative, Inc. (a nonprofit corporation), which comprise the statement of financial position as of December 31, 2024, and the related statements of activities and changes in net assets, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of entity management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, I do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

My responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require me to perform procedures to obtain limited assurance as a basis for reporting whether I am aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. I believe that the results of my procedures provide a reasonable basis for my conclusion.

I am required to be independent of Kashmir Education Initiative, Inc. and to meet my other ethical responsibilities, in accordance with the relevant ethical requirements related to my review.

Correction of Errors

As disclosed in Note 9 to the financial statements, it was determined that there were multiple errors in the financial statements for the year ended December 31, 2023 that were material. Accordingly, opening net assets have been restated as of December 31, 2023 to correct these errors. My conclusion is not modified with respect to this matter.

Accountant's Conclusion

Based on my review, I am not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Fiscal Compliance Assurance Tax and Advisory Services LLC

Peabody, Massachusetts
November 15, 2025

KASHMIR EDUCATION INITIATIVE, INC.
STATEMENT OF FINANCIAL POSITION
DECEMBER 31, 2024

ASSETS

Assets

Current assets

Cash and cash equivalents	\$ 1,752,366
Contributions and grants receivable	12,455
Deposits	<u>51,339</u>
Total current assets	<u>1,816,160</u>

Noncurrent assets

Cash and cash equivalents - endowment	5,000
Investments - endowment	<u>63,795</u>
Total non-current assets	<u>68,795</u>

Total assets	<u><u>\$ 1,884,955</u></u>
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LIABILITIES AND NET ASSETS

Liabilities:

Current liabilities

Accounts payable and accrued expenses	\$ 22,426
Total current liabilities	<u>22,426</u>
Total liabilities	<u>22,426</u>

Net Assets

Net assets without donor restrictions	1,793,734
Net assets with donor restrictions	<u>68,795</u>
Total net assets	<u>1,862,529</u>
Total liabilities and net assets	<u><u>\$ 1,884,955</u></u>

See independent accountant's review report and notes to the financial statements.

KASHMIR EDUCATION INITIATIVE, INC.
STATEMENT OF ACTIVITIES AND CHANGES IN NET ASSETS
FOR THE YEAR ENDED DECEMBER 31, 2024

	<u>Without Donor Restrictions</u>	<u>With Donor Restrictions</u>	<u>Total</u>
Support and revenue:			
Contribution and grant revenue	\$ 377,627	\$ 5,000	\$ 382,627
Fundraising event revenue, net of direct donor benefit costs	44,175	-	44,175
Total support and revenue	<u>421,802</u>	<u>5,000</u>	<u>426,802</u>
Expenses:			
Program services	155,273	-	155,273
General and administrative	72,035	-	72,035
Fundraising	5,385	-	5,385
Total expenses	<u>232,693</u>	<u>-</u>	<u>232,693</u>
Change in net assets from operating activities	189,109	5,000	194,109
Non-operating activities			
Net investment return	33,257	6,596	39,853
Change in net assets from non-operating activities	33,257	6,596	39,853
Total change in net assets	222,366	11,596	233,962
Net assets - beginning of year, as previously reported	<u>1,613,567</u>	<u>-</u>	<u>1,613,567</u>
Correction of errors	(42,199)	57,199	15,000
Net assets - beginning of year, as restated	<u>1,571,368</u>	<u>57,199</u>	<u>1,628,567</u>
Net assets - end of year	<u>\$ 1,793,734</u>	<u>\$ 68,795</u>	<u>\$ 1,862,529</u>

See independent accountant's review report and notes to the financial statements.

KASHMIR EDUCATION INITIATIVE, INC.
STATEMENT OF FUNCTIONAL EXPENSES
FOR THE YEAR ENDED DECEMBER 31, 2024

	Program Services	General and Administrative	Fundraising	Cost of Direct Donor Benefits	Total
Professional fees	\$ 59,823	\$ 55,396	\$ -	\$ -	\$ 115,219
Non-financial assistance	75,286	-	-	-	75,286
Scholarship awards and financial assistance	19,164	-	-	-	19,164
Fundraising event venue, catering, and entertainment costs	-	-	-	15,678	15,678
Merchant service fees	-	8,205	-	-	8,205
Fundraising event supplies and services	-	-	5,385	-	5,385
Licenses, memberships, and fees	-	2,674	-	-	2,674
Software expenses	-	2,467	-	-	2,467
Advertising and marketing costs	-	2,309	-	-	2,309
Strategic planning	1,000	-	-	-	1,000
Office expense	-	966	-	-	966
Postage and delivery costs	-	18	-	-	18
Total expenses	155,273	72,035	5,385	15,678	248,371
Less: direct donor benefit costs	-	-	-	(15,678)	(15,678)
	<u>\$ 155,273</u>	<u>\$ 72,035</u>	<u>\$ 5,385</u>	<u>\$ -</u>	<u>\$ 232,693</u>

See independent accountant's review report and notes to the financial statements.

KASHMIR EDUCATION INITIATIVE, INC.
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2024

Cash flows from operating activities

Change in net assets	\$ 233,962
Adjustments to reconcile change in net assets to net cash provided by operating activities:	
Contributions restricted for long-term purposes	(5,000)
Net realized and unrealized gains	(4,501)
Changes in operating assets and liabilities:	
Grants and contributions receivable	11,501
Prepaid expenses	(51,339)
Accounts payable and accrued expenses	22,426
Net cash provided by operating activities	<u>207,049</u>

Cash flows from investing activities

Purchase of investments	(2,095)
Net cash used in investing activities	<u>(2,095)</u>

Cash flows from financing activities

Contributions restricted for long-term purposes	5,000
Net cash provided by financing activities	<u>5,000</u>

Net increase in cash, cash equivalents, and restricted cash 209,954

Cash, cash equivalents, and restricted cash - beginning of year 1,547,412

Cash, cash equivalents, and restricted cash - end of year \$ 1,757,366

Reconciliation of cash, cash equivalents, and restricted cash to amounts reported on the Statement of Financial Position

Cash and cash equivalents	\$ 1,752,366
Restricted cash	5,000
	<u><u>\$ 1,757,366</u></u>

See independent accountant's review report and notes to the financial statements.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

1. Organization and Purpose

Kashmir Education Initiative, Inc. (“KEI” or the “Organization”) (a nonprofit corporation) was incorporated in 2007 under the laws of Massachusetts. It is exempt from federal income tax under Section 501(c)(3) of the Internal Revenue Code. KEI was founded to enable access to quality education for students in Kashmir. KEI considers education to be the primary imperative in the empowerment and development of individuals and communities. KEI identifies promising, but underprivileged, students living in Kashmir and helps support them by providing financial and non-financial assistance, mentoring, and access to a multitude of opportunities. KEI’s programs serve children and young adults in academic institutions that range from high school to graduate degree programs at various colleges and universities.

The Organization is primarily funded through gifts and contributions from the general public. In order to provide maximum impact, KEI collaborates with organizations in Kashmir by providing grant funding for scholarships and other education-related costs.

2. Summary of Significant Accounting Policies

Method of Accounting

The financial statements of the Organization have been prepared on the accrual basis of accounting. The significant accounting policies are described below.

Net Assets

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor or grantor restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

Net assets without Donor Restrictions - Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.

Net assets with Donor Restrictions - Net assets subject to donor (or certain grantor) restrictions. Some donor (or grantor) restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Date of Management’s Review

Subsequent events have been evaluated by management through November 15, 2025, the date the financial statements were available to be issued.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

2. Summary of Significant Accounting Policies (continued)

Cash and Cash Equivalents and Restricted Cash

All cash and highly liquid financial instruments with original maturities of three months or less, which are neither held for nor restricted by donors for long-term purposes, are considered to be cash and cash equivalents. Restricted cash represents cash deposits donated to the Organization that are restricted for the endowment. These funds will be transferred into the endowment investment account in 2025.

Contributions Receivable

The Organization records unconditional promises to give that are expected to be collected within one year at net realizable value. Unconditional promises to give expected to be collected in future years are initially recorded at fair value using present value techniques incorporating risk-adjusted discount rates designed to reflect the assumptions market participants would use in pricing the asset. In subsequent years, amortization of the discounts is included in contributions revenue on the statement of activities and changes in net assets. Allowance for uncollectible contributions receivable is determined based on historical experience, an assessment of economic conditions, and a review of subsequent collections. Promises to give are written off when deemed uncollectible.

Grants Revenue and Contributions Revenue

The Organization receives unconditional grants and contributions from individuals, corporations, public charities, and private foundations. Grants and contributions received are recorded as with donor restrictions or without donor restrictions support depending on the existence and/or nature of any donor restrictions. When a donor stipulation expires, that is, when a stipulated time restriction ends or the purpose is accomplished, net assets with donor restrictions are reclassified to net assets without donor restrictions and reported as net assets released from restrictions. Conditional promises to give are not recorded as grants or contributions until they become unconditional; that is, when the barrier has been overcome and the right of release/right of return no longer exists. Any funding received prior to the Organization overcoming the barrier is recognized as a refundable advance liability.

In Kind Donations

The Organization recognizes contributions revenue from donations of goods at fair value at the time of donation. The Organization only recognizes contributions from donated services that create or enhance nonfinancial assets or that require specialized skills and would be typically need to be purchased, if not donated. The Organization receives donated services from a variety of unpaid volunteers who assist with the Organization's programs. The Organization did not receive donated goods or services during the year ended December 31, 2024 that met the criteria under U.S. GAAP for recognition in these financial statements.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

2. Summary of Significant Accounting Policies (continued)

Fair Value Measurements

The Organization values its financial assets and liabilities based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. In order to increase consistency and comparability in fair value measurements, a fair value hierarchy that prioritizes observable and unobservable inputs is used to measure fair value into three broad levels, as follows:

Level 1 - Quoted prices in active markets that are accessible at the measurement date for identical assets or liabilities. The fair value hierarchy gives the highest priority to *Level 1* inputs.

Level 2 - Observable inputs other than *Level 1* inputs such as quoted prices for similar assets or liabilities; quoted prices in inactive markets; or model-derived valuations in which all significant inputs are observable or can be derived principally from or corroborated with market data.

Level 3 - Unobservable inputs are used when little or no market data is available. The fair value hierarchy gives lowest priority to *Level 3* inputs.

In determining fair value, the Organization utilizes valuation techniques that maximize the use of observable inputs and minimize the use of unobservable inputs to the extent possible.

Investments

Investment purchases are recorded at cost, or if donated, at fair value on the date of donation. Thereafter, investments are reported at their fair values in the statement of financial position. Net investment return/(loss) is reported on the statement of activities and changes in net assets and consists of interest and dividend income, realized and unrealized gains and losses less external investment expenses.

Income Taxes

The Organization is a not-for-profit organization, whose activities are described in Section 501(c)(3) of the Internal Revenue Code, and, therefore, is exempt from federal income taxes. The Organization is also exempt from Massachusetts income tax under Massachusetts General Law Chapter 180. The Organization files federal Form 990 annually and also files annual reports in multiple states. The statute of limitations for these jurisdictions is generally three years. While no income tax returns are currently being examined by the Internal Revenue Service, tax returns since the year ended December 31, 2021 remain open.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

2. Summary of Significant Accounting Policies (continued)

Endowment

The Organization's endowment consists of a fund established to support current scholarship programs administered by the Organization as well as future scholarship programs. The endowment consists entirely of net assets with donor restrictions. In conformity with accounting principles generally accepted in the United States of America, net assets associated with endowment funds are classified and reported based on the existence or absence of donor-imposed restrictions.

The Board of Directors has interpreted the Massachusetts Uniform Prudent Management of Institutional Funds Act (UPMIFA) as requiring the preservation of the fair value of the original gift as of the gift date of the donor restricted endowment fund absent explicit donor stipulations to the contrary. As a result of this interpretation, the Organization classifies as net assets with donor restrictions (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. The remaining portion of the donor-restricted endowment fund is held as net assets with donor restrictions until those amounts are appropriated for expenditure by the Organization in a manner consistent with the standard of prudence prescribed by the Act.

In accordance with the Act, the Organization considers the following factors in making a determination to appropriate or accumulate restricted endowment funds: (i) the duration and preservation of the fund, (ii) the purposes of the Organization and the restricted endowment fund, (iii) general economic conditions, (iv) the possible effect of inflation and deflation, (v) the expected total return from income and the appreciation of investments, (vi) other resources of the Organization, and (vii) the investment policies of the Organization.

The Organization has adopted investment and spending policies for endowment assets that attempt to provide a predictable stream of funding while seeking to maintain the purchasing power of the endowment assets. Endowment assets include donor-restricted funds that the Organization must hold in perpetuity as well as investment earnings on those endowment funds. The Organization's investment policy seeks to achieve an after-cost total real rate of return, including investment income as well as capital appreciation, which exceeds the annual distribution with acceptable levels of risk.

The Organization's policy for appropriating endowment funds for distribution is to only spend from the endowment when reserves fall below a level that will only fund six months of operating expenses. In the event that the Organization spends from the endowment in the future, the Organization will ensure that the corpus of its endowment fund is maintained in perpetuity.

From time to time, the fair value of assets associated with individual donor-restricted endowment funds may fall below the level that the donor or the Act requires the Organization to retain as a fund of perpetual duration. In accordance with accounting principles generally accepted in the United States of America, deficiencies of this nature are reported in net assets with donor restrictions. The Organization did not have any endowment funds with deficiencies as of December 31, 2024.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

2. Summary of Significant Accounting Policies (continued)

Functional Allocation of Expenses

The costs of providing the various programs and other activities have been summarized on a functional basis in the statement of activities and changes in net assets. Accordingly, costs have been allocated between the program and supporting services benefited based on management's estimates. Program expenses pertain to expenses incurred by the Organization that are directly related to specific programs being implemented. Supporting services, which include management and general and fundraising activities, pertain to administration expenses that are not directly attributable to any specific program, but which provide for the overall support and direction of the Organization. The expense category allocated is professional fees, which is allocated based on time and effort reporting of the Organization's contractors.

Scholarships Expense and Non-financial Assistance

The Organization awards scholarships, financial assistance, and non-financial assistance to qualifying students based on the academic performance and personal character of the applicants. Scholarships, financial assistance, and non-financial assistance expenses are only recognized when eligibility conditions are met. Non-financial assistance provided during the year ended December 31, 2024 included tablets for use by students in Kashmir to help further their education.

Advertising Expense

The Organization expenses advertising costs as incurred. The Organization incurred advertising expense of \$2,309 during the year ended December 31, 2024.

3. Liquidity and Availability of Financial Assets

The following reflects the Organization's financial assets as of December 31, 2024 that are available to meet general expenditures within one year:

Cash and cash equivalents	\$	1,752,366
Restricted cash		5,000
Contributions receivable		12,455
Investments		63,795
		<u>1,833,616</u>
Less: financial assets donor restricted for endowment		<u>(68,795)</u>
Financial assets available to meet general expenditures within one year	\$	<u>1,764,821</u>

As part of the Organization's liquidity management, the Organization structures its financial assets to be available as its general expenditures, liabilities, and other obligations come due. For purposes of analyzing resources available to meet general expenditures over a twelve-month period, the Organization considers all expenditures related to its ongoing activities as well as the conduct of services undertaken to support those activities to be general expenditures.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

4. Investments and Fair Value Measurements

As of December 31, 2024, the Organization's investments consisted of the following:

Equity exchange traded products	\$ 21,186
Fixed income mutual funds	25,337
Equity mutual funds	16,498
Money market funds	774
	<u>\$ 63,795</u>

Net investment return consisted of the following for the year ended December 31, 2024:

Interest income	\$ 33,257
Dividend income	2,583
Net realized gains	4,058
Net unrealized gains	443
Investment advisory fees	(488)
	<u>\$ 39,853</u>

The following table sets forth, by level within the fair value hierarchy, the Organization's investments as of December 31, 2024:

	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Equity exchange traded products	\$ 21,186	\$ -	\$ -	\$ 21,186
Mutual funds - high yield bond	12,852	-	-	12,852
Mutual funds - intermediate core plus bond	7,511	-	-	7,511
Mutual funds - relative value arbitrage bond	4,975	-	-	4,975
Mutual funds - foreign large-cap blend	4,815	-	-	4,815
Mutual funds - domestic small-cap value	4,094	-	-	4,094
Mutual funds - domestic large-cap value	7,588	-	-	7,588
Money market funds	774	-	-	774
Total	<u>63,795</u>	<u>-</u>	<u>-</u>	<u>63,795</u>
	<u>\$ 63,795</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 63,795</u>

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

5. Return of Scholarships Awarded in Prior Year

During the year ended December 31, 2024, the Organization was refunded \$40,732 for scholarships awarded during the year ended December 31, 2023 that had been returned. These scholarships were returned because of the political climate in Kashmir which created sanctions against the transfer of funding into Kashmir. Since there is no expectation for the returned scholarship funds to be sent back to Kashmir in the future to benefit the qualifying students, the amount has been reported net of scholarship awards and financial assistance expenses on the accompanying statement of functional expenses.

6. Net Assets with Donor Restrictions

Net assets with donor restrictions consisted of the following at December 31, 2024:

Endowment corpus	\$ 50,500
Cumulative endowment net earnings	18,295
	<u>\$ 68,795</u>

7. Concentrations of Credit and Market Risk

The Organization's financial instruments that are exposed to concentrations of credit and/or market risk consist primarily of cash and cash equivalents and restricted cash, investments, and contributions receivable.

Cash and Cash Equivalents and Restricted Cash

The Organization maintains cash accounts at various Massachusetts banks. The Federal Deposit Insurance Corporation (FDIC) insures balances up to \$250,000. At certain times during the year, cash balances may exceed the insured amounts. On a regular basis, management monitors the financial condition of the financial institutions, along with their balances, to keep this potential risk to a minimum. To date, the Organization has not experienced losses in any of these accounts.

Investments

The Organization invests in securities which are exposed to market and credit risk. Due to the level of risk associated with such investments and the level of uncertainty related to changes in the value of such investments, it is at least reasonably possible that changes in the near term could materially affect investment balances and the amounts reported in the financial statements.

Contributions Receivable

Credit risk associated with contributions receivable is considered to be limited due to high historical collection rates.

KASHMIR EDUCATION INITIATIVE, INC.

NOTES TO THE FINANCIAL STATEMENTS

8. Endowment

Changes in endowment net assets for the year ended December 31, 2024 were as follows:

	With Donor Restrictions - Endowment Corpus	With Donor Restrictions - Endowment Earnings	Endowment Net Assets
Endowment net assets, beginning of year	\$ 45,500	\$ 11,699	\$ 57,199
Endowment contribution	5,000	-	5,000
Investment return	-	6,596	6,596
Endowment net assets, end of year	<u>\$ 50,500</u>	<u>\$ 18,295</u>	<u>\$ 68,795</u>

9. Correction of Errors

During the year ended December 31, 2024, it was determined that \$57,199 was improperly classified as net assets without donor restrictions in the financial statements for the year ended December 31, 2023 when the net assets were actually donor restricted for endowment purposes. In addition, it was noted that a \$15,000 conditional grant was awarded to the Organization in 2023 for which the conditions were met by December 31, 2023 to warrant recognition as an unconditional grant. This grant was not recognized as revenue until the year ended December 31, 2024. Accordingly, an adjustment was made to net assets to correct the errors at January 1, 2024. The errors resulted in an increase to the change in net assets with donor restrictions in the amount of \$23,343 for the year ended December 31, 2023 and a decrease to the change in net assets without donor restrictions for the year ended December 31, 2023 in the amount of \$8,343.

The effect on the opening net assets as of January 1, 2024, as shown on the Statement of Activities and Changes in Net Assets, is as follows:

Increase to change in net assets with donor restrictions	\$	57,199
Decrease to change in net assets without donor restrictions	\$	(42,199)

10. Foreign Operations

The Organization has operations outside the United States, particularly its activities in Kashmir. Foreign operations are subject to risks inherent in operating under different legal systems and various political and economic environments. Among the risks are changes in existing tax laws, possible limitations on foreign investment and income repatriation, government price or foreign exchange controls, and restrictions on currency exchange.